STATEMENT OF ADVICE

Financial Planning Strategy

Prepared for:

John and Jeanette Stroud

Of

28 Carisbrooke Street
BALNARRING BEACH VIC 3926

Prepared on:

25th September 2015

By your Adviser:

Andrew Lord *B Bus (Acc), Dip FS (Fin Plan)*

Lakeside Financial
Level 1, 99 Bay Street
Brighton VIC 3186

Ph: 03 9596 5111 Fax: 03 9596 3222
Email: *andrew.lord@lakesidefinancial.com.au*

Authorised Representative # 324798

Pareto Group Pty Ltd
ABN 11 155 278 078 Australian Financial Services Licensee No. 418700
1/99 Bay Street, Brighton, Vic, 3186
Ph: 03 9596 5111 Fax: 03 9596 3222

What this document is about

This Statement of Advice (or SoA) is an important document.

- It provides you with information about our advice so you can make a decision about implementing the advice.
- It should be read in conjunction with other documents such as Product Disclosure Statements and our Financial Services Guide.

What to do after reading this Statement of Advice

Please contact us.

- If you have any questions.
- If we have omitted, overlooked or incorrectly understood any of your relevant circumstances.
- When you are ready to implement the recommendations.
- Or, if you decide you want to do something else and need our advice or assistance.

25/09/2015

John and Jeanette Stroud
28 Carisbrooke Street
Balnarring Beach VIC 3926

Dear John and Jeanette,

I am pleased to enclose your Statement of Advice (SoA).

It is an important document that you should read and understand before making a decision to proceed further.

We have based the strategies and recommendations in this document on our understanding of your current personal and financial position. If any of this information does not reflect any part of your current position, goals and objectives please advise us immediately and we will make the necessary changes.

The SoA sets out our recommended strategies to address your needs, together with a recommended course of action to implement these strategies.

When you are ready to proceed, we would be very happy to help you with the implementation of the advice, including the completion and lodgement of application forms and other documents.

Please note, our recommendations in this Statement of Advice are valid for 30 days from the date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation again before you take any action.

Once implemented, we should review your situation on a regular basis to ensure we make the most of any changes that may impact on the strategies I have recommended for you.

Yours sincerely,

Andrew Lord
B Bus (Acc), Dip FS (Fin Plan)
Authorised Representative No 324798 of
Pareto Group Pty Ltd

Table of Contents

Purpose of this document

The following Statement of Advice (SoA) is an outline of the financial plan discussed with your financial planner. It details the recommendations needed to execute your plan and achieve your financial objectives.

Timeframe for our advice

Our recommendations in this SoA are valid for 30 days from the preparation date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation before taking any action.

Check for accuracy

This SoA is based on the information you provided. Please read the document carefully, checking that your details are correct and that no important facts are missing. If anything is wrong or missing, please let us know immediately—otherwise our advice may be based on incorrect information and may not be right for you.

Limitations of our advice

We cannot give advice on:

- Trust or business structures
- Taxation
- General insurance
- Direct share or property purchases
- Legal matters

Please don't consider any of this document's recommendations to be advice in any of these areas. If you need advice in these areas, please see a qualified professional in that field.

Assumptions we've made

When giving advice, we make certain assumptions to demonstrate how the advice could affect your financial situation. We've based our advice on economic information and legislation that was current when we prepared your SoA.

All dollar amounts in this SoA are in today's dollars, even when we mention future income, expenses, investment amounts and so on. Naturally we can't predict what future inflation rates will be, so we can only make assumptions based on past trends. Also, all amounts listed in this document are "p.a." (per annum) unless otherwise stated or implied.

Product selection

We are committed to giving you the best products for your situation. When preparing your advice we considered and recommended only those products on Pareto Group's "Approved Product List". This list was compiled by a dedicated Investment Review Committee, which regularly reviews it. To see the complete product list, please ask us.

Introduction

You are entitled to receive a Statement of Advice (SoA) whenever we provide you with any personal financial advice. Personal financial advice is advice that takes into account any one or more of your objectives, financial situation and needs.

This SoA is a record of the personal financial advice provided to you and includes information on the basis on which this advice is given, information about remuneration including fees, any other benefits and any interests, relationships or associations which might influence the making of the advice.

If this advice includes a recommendation to you to acquire a particular financial product (other than securities) or an offer to issue or arrange the issue of a financial product to you, we will also provide you with a Product Disclosure Statement containing information about the particular product to help you make an informed decision about that product.

The Scope of Our Advice

In this statement of advice, the main focus is on:

- Structure of assets
- Retirement Planning
- Superannuation Structure
- Cash Flow

This advice is based on information we have obtained from you. You must ensure the information is accurate and complete. Otherwise, this advice may be based on inaccurate or incomplete information relating to your investment objectives, financial situation or needs. You must therefore assess whether the advice is appropriate, in the light of your own individual investment objectives, financial situation or needs.

You recognise in each of the areas of advice we provide, we only provide advice to the extent we are able to under the relevant legislation.

Our Investment Recommendations

In respect of the specific investments we recommend as part of our advice you are entitled to a 14 day cooling off period for your initial investment. A cooling off period generally means a period of time after which you have provided your capital for investment, where you can change your mind and request for your capital to be returned to you.

Each fund manager or investment provider may implement the cooling off period in a slightly different manner. Therefore we recommend you refer to the Product Disclosure Statement for each of the recommended investments in order to understand the operation of each provider's cooling off period.

Your Adviser

At any time should you have any questions or concerns, in the first instance please contact your adviser Andrew Lord on (03) 9596 5111.

Andrew Lord is authorised to represent Pareto Group Pty Ltd. Should you wish to discuss matters of concern about your adviser or the advice you have received please contact us on 03 9596 5111.

The Planning Process

John and Jeanette, *Financial Planning* is a process to help you reach both your Personal and Financial Goals and Objectives. In order to achieve this we jointly need to undertake a number of tasks, including:

- ✓ Confirm your personal goals and lifestyle objectives;
- ✓ Quantify the resources required to meet your goals and objectives;
- ✓ Identify any gaps in your current plans and your stated goals and objectives;
- ✓ Develop suitable strategies to address any differences that may exist bearing in mind your attitude to investing and your risk profile;
- ✓ Conduct a regular review of the strategies we put into effect to ensure they keep pace with your changing needs, legislative changes and the investment environment.

Executive Summary

In this plan our advice considers the following areas of your financial circumstances.

Your Goals and Objectives

After our discussions I have listed below what we agreed were your key goals and objectives. The points listed below form the basis of the plan I have prepared, and therefore you should read them carefully now to ensure that we have an accurate foundation on which to proceed. If there are any modifications required, please advise us prior to the commencement of your financial plan.

Your goals and objectives are to:

- Ensure you have sufficient cash flow to meet your daily living requirements.
- Explore ways in which to maximise your retirement nest egg.
- Review your overall asset position (including superannuation portfolio) and ensure that it is structured in the most effective manner.
- Ensure that your capital is preserved with the view of generating sufficient investment income to live off.
- Have accessibility to funds for larger expenses.

Personal Information

During our discussions and from the information you have provided, your Personal Details can be summarised as follows:

Personal Details

Title	Mr	Mrs
First Name	John	Jeanette
Surname	Stroud	Stroud
Gender	M	F
Date of Birth	28/03/1947	15/03/1951
Age Last Birthday	68	64
Marital Status	Married	Married

Estate Planning

	John	Jeanette
Do you have a Current Will?	Yes	Yes
Do you have Current Powers of Attorney?	Yes	Yes
Do you have a Testamentary Trust?	Yes	Yes

Current Assets and Liabilities

The following is an Asset and Liabilities summary that estimates your current Net Worth position based on the information provided.

ASSETS

Lifestyle Assets	Value
Residential Home	$950,000
Motor Vehicles	$60,000
Total Lifestyle Assets	**$1,010,000**

Investment Assets	
CBA Shares (1,802 shares)	$136,952
Total Superannuation Assets	**$136,952**

Superannuation Assets	
John	
Colonial First State Firstchoice Wholesale Pension	$70,222
Colonial First State Firstchoice Personal Super (upon receipt of TPD payment)	$364,653
Jeanette	
Colonial First State Firstchoice Wholesale Pension	
Colonial First State Firstchoice Personal Super	$61,009
	$22,829
Total Superannuation Assets	**$518,713**

Total ASSETS	**$1,665,665**

LIABILITIES

Line of Credit against residential property (outstanding balance)	$50,000
Car Loan (Jeanette)	$8,000
Car Loan (John)	$35,000
Credit Cards (outstanding balance)	$15,000
Total Liabilities	**$108,000**

NET WORTH	**$1,557,665**

Notes: As the above information has been used in preparing our recommendations please advise us of any errors or omissions.

The 'Total' column indicates the value of assets and liabilities which are owned by you. This report does not show the value of any portion of the asset or liability that may be owned by a third party or associated entity.

Your Investor Risk Profile

The following section of your plan helps to ensure that I clearly understand your attitude to investment selection. Additionally, investments contain various characteristics, which may or may not suit each individual investor.

Based upon our discussions and the current asset allocation within your respective superannuation funds, it was determined that you can be classified as Moderately Conservative investors.

Typically, a **Moderately Conservative** investor has the following characteristics:

- The Moderately Conservative investor seeks a diversified portfolio with a balance of defensive and growth assets.
- This requires an investment time horizon of between 3 – 5 years.
- The portfolio would be include a high portion of income bearing securities such as cash and fixed interest, with a small exposure to equities and property providing appreciation potential.

A Moderately Conservative investor will typically diversify their investment in the following manner:

Australian Shares	24%
International Shares	14%
Fixed Interest	38%
Property	10%
Cash	14%

Our research indicates that long term returns will be best achieved through a diversified portfolio covering all major asset classes (i.e. Cash, Fixed Interest, Shares and Property).

By covering all primary investment markets the risks and volatility of your investments can be managed to levels consistent with your investment profile, whilst maintaining the potential for long term growth. Any recommendation will be based on your risk tolerance, while in balance with your goals and objectives.

Strategy Recommendation

Tax Rates

When assessing the most tax effective environment for your investment assets, we need to consider the tax that would be payable on any income that these investments will generate. The current tax rates are as follows:

Income Earned in your personal name

Tax rates 2015-16*

Taxable income	*Tax on this income*
$1 – $18,200	Nil
$18,201 – $37,000	19c for each $1 over $18,200
$37,001 – $80,000	$3,572 plus 32.5c for each $1 over $37,000
$80,001 – $180,000	$17,547 plus 37c for each $1 over $80,000
$180,001 and over	$54,547 plus 45c[#] for each $1 over $180,000

* The above rates **do not** include the Medicare levy of 2%.

[#] Rate does not include the temporary budget repair levy of 2%

Income Earned in the superannuation environment

Superannuation in ‘accumulation’ phase - Tax rate = 15%

Superannuation in ‘pension’ phase - Tax rate = 0%

Tax on superannuation earnings, contributions and income streams

	Non-superannuation	Super accumulation phase	Super pension phase	
			Age 55-59	After age 60
Salary/pension income	Marginal tax rate **(max 45% + medicare)**	n/a	Marginal tax rate (less 15% rebate) + medicare	**Tax free**
Super contributions (SGC, salary sacrifice)	n/a	**15%**	n/a	n/a
Investment income	Marginal tax rate **(max 45% + medicare)**	Maximum 15%	**Tax free**	**Tax free**
Capital gains	**Marginal tax rate** (50% discount if held for more than 12 months)	**10%** (15% if asset held less than 12 months)	**Tax free**	**Tax free**

Superannuation Contribution Limits

Table 1- Concessional contribution limits

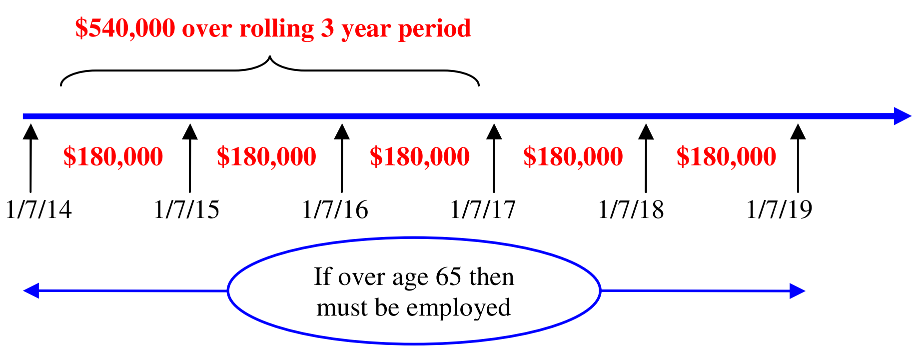
Concessional contributions include employer and self-employed contributions such as salary sacrifice, superannuation guarantee and personal concessional contributions.

Date	Limit (per annum)				
	To Age 49	Age 50-59	Age 60-65	Age 65-74*	Age75 and over
From 1 July 2012	$25,000	**$25,000**	**$25,000**	**$25,000**	SGC only
From 1 July 2013	$25,000	**$25,000**	**$35,000**	**$35,000**	SGC only
From 1 July 2014	$30,000	**$35,000**	**$35,000**	**$35,000**	SGC only

*Must be employed at least 40 hours during any consecutive 30 day period in the financial year you would like to make the contributions.
Concessional Contributions were previously known as Deductible Contributions (e.g. Salary Sacrifice).

Table 2 - Non-concessional contribution limits

Date	Limit on after-tax contributions	Eligibility Requirements		
		Under age 65	Age 65 to 74	Age 75 and over
From 1 July 2007	$150,000 p.a.	May bring forward two years of contributions to make a $450,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2014	$180,000 p.a.	May bring forward two years of contributions to make a $540,000 contribution in one financial year	Must be employed	Cannot contribute



Total & Permanent Disablement (TPD) Payment

- John, you have received a TPD payment of $364,653 and you seek advice as to the most appropriate use of these funds moving forward. As a starting point, these funds have initially been paid into your Colonial First State Firstchoice Personal Super Fund.
- Current legislation allows you to commence a non-commutable income stream with your superannuation monies without having to satisfy a condition of release. From age 60, all income received from this income stream are tax free. Once you have commenced an income stream all income on the amount funding the income stream is tax free as opposed to being taxed at 15% when in accumulation phase.
- The minimum pension amount that you can draw is 5% of your account balance per annum whilst there is no maximum on the amount you can draw down as you have reached preservation age and are no longer working.
- You would like to use a portion of these funds for the following purposes:

Pay down outstanding Line of Credit	$50,000
Pay off Jeanette's car loan	$ 8,000
Pay off credit card debt	$15,000
Renovations / house improvements	$25,000
	$98,000

Recommendation:

- Make a lump sum withdrawal of $98,000 from John's Colonial First State FirstChoice Super Fund in order to meet the payments detailed above.
- John, in light of the fact that superannuation is a 'tax-free' environment to hold investment assets (when in pension phase), commence a new Allocated Pension by rolling over the remaining **$266,653** and combining it with the **$70,222** currently within your existing Colonial Pension Fund.
- Commence the minimum pension income stream of 5% of the fund balance – i.e. **$16,844** per annum ($1,404 per month approximately).
- Jeanette, reduce your pension income stream to the minimum (which will be 5% of the fund balance from March 2016 when you turn 65) – i.e. **$3,050** per annum ($254 per month approximately).

Benefits:

- As your superannuation fund will be in 'pension phase', any assets held within the fund are effectively being held in the most tax effective environment as any earnings are considered 'tax free'.

Risks:

- Superannuation benefits are subject to market returns and earning rates are not guaranteed.

Estimated Proposed Cash Flow (first 12 month period)

	Total
Income	
Income Protection Payments - John	$36,000
Wages – Jeanette	$10,000
Income Stream – John	$16,844
Income Stream - Jeanette	$3,050
Sub Total	**$65,894**
Less Net Income Tax	($3,657)
Net Income	**$62,237**
Less Budgeted Expenditure*	$54,000
Income Surplus	**$8,237**

* Budgeted expenditure based on an estimated $4,500 per month required to meet all expenses and living costs.

Superannuation Funds

John and Jeanette, you currently hold the following superannuation funds:

John

Colonial First State Firstchoice Wholesale Pension $70,222

Colonial First State Firstchoice Personal Super (upon receipt of TPD payment) $364,653

Jeanette

Colonial First State Firstchoice Wholesale Pension

Colonial First State Firstchoice Personal Super $61,009

$22,829

Recommendations:

- Jeanette, maintain your existing superannuation structure.
- John, commence a new Allocated Pension by rolling over the remaining $266,653 and combining it with the $70,222 currently within your existing Colonial Pension Fund. i.e. the new Allocated Pension will have an estimated starting balance of **$336,875**.

Investments Within Superannuation

Based on a **'Moderately Conservative'** portfolio (see below) we would suggest that the funds be invested in the following manner:

Moderately Conservative:

Asset Class	% of Portfolio	Value (John)	Value (Jeanette)
Australian Shares	24%	$80,850	$20,121
International Shares	14%	$47,162	$11,737
Fixed Interest	38%	$128,013	$31,859
Property	10%	$33,687	$8,384
Cash	14%	$47,163	$11,737
	100%	**$336,875**	**$83,838**

The specific underlying funds that make up this portfolio would be:

Asset Class	% of Portfolio	Value (John)	Value (Jeanette)
BT Wholesale Core Australian Share	8.00%	$26,950	$6,707
Fidelity Wholesale Australian Equities	8.00%	$26,950	$6,707
Perennial Wholesale Value Australian Share	8.00%	$26,950	$6,707
BT Core Wholesale Global Share Fund (AQR)	7.00%	$23,581	$5,869
MFS Wholesale Global Equity	7.00%	$23,581	$5,869
BT Wholesale Property Investment	5.00%	$16,844	$4,192
CFS Global Property Securities	5.00%	$16,844	$4,192
FirstChoice Wholesale Fixed Interest	38.00%	$128,013	$31,858
CFS Wholesale Cash Fund	14.00%	$47,162	$11,737
	100%	**$336,875**	**$83,838**

Benefits:

- Your funds will be invested in line with your Investor Risk Profile
- The Colonial Platform offers flexibility in terms of offering access to in excess of 100 underlying funds that can be incorporated into your portfolio
- The underlying funds are actively managed by a diverse range of fund managers
- You will receive ongoing advice and reporting

Government Age Pension

The Government Age Pension provides income support, as well as access to a range of concessions to older Australians. The eligible age is currently 65, though it will increase to age 67 by 2023, and to age 70 by 2035.

The Age Pension is subject to two means tests, an assets test and an income test. The pension amount is determined by whichever test gives the lowest end payment benefit.

The asset and income means tests are applied to each individual or couple, with the Age Pension payment rate reducing if the individual or couple hold assets, or earn income, over the outlined minimum thresholds. These thresholds are outlined below:

Income test

Single		
Fortnightly Income	Up to $160	Over $160
Reduction in payment	None – full payment rate	50 cents for each dollar over $156
Couples		
Fortnightly Income	Up to $284	Over $284
Reduction in payment	None – full payment	50 cents for each dollar over $276 (combined)

Asset test

Family Situation	For Homeowners	For Non-Homeowners
Single	$202,000	$348,500
Couple (combined)	$286,500	$433,000
Reduction in payment	$1.50 for every $10,000 over the above amounts	$1.50 for every $10,000 over the above amounts

Age Pension Payment Rates

The current maximum fortnightly payment rate for the Age Pension, including the pension supplement, is outlined in the table below:

	Family Situation			
Pension rates per fortnight	**Single**	**Couple each**	**Couple combined**	**Couple each separated due to ill health**
Maximum basic rate	$782.20	$589.60	$1,179.20	$782.20
Maximum Pension Supplement	$63.90	$48.20	$96.40	$63.90
Energy Supplement	$14.10	$10.60	$21.20	$14.10
TOTAL	$860.20	$648.40	$1,296.80	$860.20

As stated, the maximum rate may be reduced due to the thresholds outlined via the relevant means test.

Deeming

The deeming rules assume your financial assets are earning a certain amount of income, regardless of the income they actually earn. Deeming encourages you to earn more income from your investments and reduces the extent that your payments may vary.

Deeming is used to calculate income for pension, benefit and allowance payments.

From 1 July 2015:

- if you are a member of a couple:
  - if at least 1 of you is getting a pension, the first $79,600 of your and your partner's financial investments is deemed to earn income at 1.75% per annum and any amount over that is deemed to earn income at 3.25% per annum, or
  - if neither of you is getting a pension, the first $40,300 for each of your and your share of jointly owned financial investments is deemed to earn income at 1.75% per annum and any amount over that is deemed to earn income at 3.25% per annum

If the actual income you receive from your investments is more than the deemed income calculated, the extra income is not counted when assessing your rate of pension, benefit or allowance.

Gifting

Either of you can give away money or other assets to any value you choose at any time, but the rate of income support payment you receive may be affected if you gift assets worth more than the allowable gifting amount or ' free area'.

The gifting rules are:

- there is an allowable gifting amount or free area for a single person or a couple of $10 000 in a single financial year, and,
- there is an allowable gifting amount or free area for a single person or a couple of $30 000 over a five year rolling period. The rolling five year period is the current financial year plus the previous four financial years
- Any asset or amount that you gift over and above either the $10 000 in a single year free area or the $30 000 five year free area is treated as a gift or deprived asset for five years from the date of disposal.

Gifts are:

- included in your assets until the fifth anniversary of the date of the gift
- deemed to earn income in the same way as financial assets
- any amounts you disposed of or gifted in the five years immediately before you were granted a payment can also be considered.

Gifting includes:

- money or any asset you have transferred to members of the family or other relatives
- gifts to other people or charities
- assets sold for less than their market value

Gifting does not include you selling or reducing your assets to meet normal expenses, for example, to buy consumer goods like a fridge or washing machine, for home maintenance/improvements, or to pay for holidays. Nor does it include payments for services received, e.g. lawn mowing.

Your Age Pension Entitlement

John and Jeanette, we have taken the liberty of calculating your proposed approximate entitlement to the Age Pension once Jeanette turns 65 and John's Income Protection benefits cease. The calculations are outlined below:

Age Pension Assets Test

\$619,874 - \$286,500 = \$333,374

\$333 x \$1.50 = \$499.50 reduction p.f.

Therefore, **Age pension payable** = \$1,296.80 - \$499.50

= \$797.30 p.f.

= **\$20,729.80 p.a.**

Age Pension Income Test

\$79,600 @ 1.75% = \$ 1,393

\$510,274 @ 3.25%= \$16,584

\$17,977

\$17,977 = \$691.42 p.f.

\$407.42 x \$0.50 = \$203.71 reduction p.f.

Therefore, **Age Pension payable** = \$1,296.80 - \$203.71

= \$1,093.09 p.f.

= **\$28,420.34 p.a.**

Conclusion

- John and Jeanette, due to the Government Age Pension rules, you will be assessed on the means test that will pay you the lowest rate per fortnight, which in your situation is the Assets test.

- The amount you would receive would be approximately \$20,729.80 combined per annum.

Retirement Projections

We have taken the liberty of providing retirement and cash flow projections over a 20 year period based on two scenarios. The scenarios are calculated utilising the following assumptions:

- Beginning Superannuation Balance of $420,713
- Superannuation Earning rate of 7% p.a.
- CBA share price increases by 4% p.a.
- Income Protection payments to cease after Year 1
- Jeanette's wage to cease after Year 1
- CBA share dividends of $2 per share twice per year
- Age Pension applicable from Year 2
- Budgeted expenditure of $54,000 increases at 3% p.a. in line with inflation
- Centrelink payments (Age Pension) increase at 3% p.a. in line with inflation

The two core scenarios are as follows:

Scenario 1 – CBA dividends continue to be reinvested

Scenario 2 – CBA dividends are paid out as cash

Under each of these scenarios we have calculated your projected capital position (excluding your residential property) after 20 years with the key outcomes as follows:

Investment Asset	Scenario 1	Scenario 2
Superannuation Pension Fund	$0	$162,558
Superannuation Accumulation Fund	$18,702	$91,108
CBA Shares	$711,956	$360,113
TOTAL INVESTMENT ASSETS	**$730,658**	**$613,779**

A copy of the calculations used to derive the different outcomes detailed above is contained in the appendix at the rear of this Statement of Advice.

Colonial FirstChoice Wholesale Investments

The FirstChoice Investments is a multi-manager investment solution which combines wide investment choice with a competitive and simple fee structure, backed up by a high standard of service support from Colonial First State.

A minimum total investment of $5,000 ($1,500 for super) is required to establish an account in FirstChoice Investments. A $1,000 minimum initial balance is required if a regular investment plan is set up at commencement of the account. The minimum regular investment plan amount is $100 per month.

Reasons and Benefits

The major features of the Colonial FirstChoice Investments are as follows:

<u>Sector Specific Diversification</u>

A strong range of investment options with access to more than one specialist manager within each asset class. This approach captures the competitive advantages of each manager. We anticipate this will provide higher returns than can be obtained from using diversified funds with, say, only one fund manager.

<u>Simplicity</u>

Consolidated reporting from Colonial First State.

<u>Ease of Management</u>

Automatic investment re-balancing and switching to help you easily and conveniently keep your investment strategies on track.

- We recommend that annual automatic rebalancing is elected.

<u>Highly competitive and simple to understand fee structure</u>

- No entry fee applies to this investment however, with your agreement; your Financial Adviser may wish to charge a one off fee for upfront costs.
- You can agree with your Financial Adviser to have an ongoing Adviser Service Fee for advice paid directly from your investment. The ongoing fee will be deducted monthly from your investment options.
    - **Our normal 0.75% p.a. Adviser Service fee will apply.**
- No switching fees or exit fees apply to this investment.

Funds for Grandchildren

John and Jeanette, you currently have approximately $5,000 sitting in a bank account, the intention of which is to gift to your grandchildren. You seek advice in terms of alternatives for investing these monies.

Recommendation:

- Consider commencing a Colonial First Choice WS Investment Fund with the $5,000 and investing in the '**FirstChoice Wholesale Moderate Fund**' (see Colonial FirstChoice investment recommendation section below).

Performance figures (net of MER) for the **FirstChoice Wholesale Moderate Fund** as at 31/07/15 are as follows:

1 year	2 years	3 years	5 years	7 years	Since inception	Inception date
10.23%	10.44%	12.42%	9.22%	6.86%	6.42%	23/04/02

Based on an earning rate of 6.42% p.a. we estimate that in ten years' time you will have an approximate balance of $9,315.

Benefits:

- This is invested in line with your **'**Moderately Conservative**'** Risk Profile for non-superannuation investment assets.

Risks:

- Investment performance is not guaranteed.

What is paid to your adviser

Plan Fee

As part of John's lump sum TPD benefit you are entitled to an additional Financial Planning benefit of $5,000 which covers the fee for this Statement of Advice. This will be invoiced to you and you will subsequently be reimbursed by the insurer (MLC).

Upfront and Ongoing Fee Disclosure

The following is provided to assist you to gain a clear understanding of the payments and benefits that Pareto Group Pty Ltd, our associates and I will be entitled to receive for services provided to you, if you adopt the recommendations in this plan.

There is an entry fee payable of which the break-up of the fee is disclosed as follows:

		Total Fee Paid by Client		Total Payable to Financial Service Licensee/Financial Adviser and /or its Associates			
Investment Details	**Amount Invested**			**Initial**		**Ongoing**	
		(%)	**($)**	**(%)**	**($)**	**(%)**	**($)**
Colonial FirstChoice Wholesale Super - Jeanette	$22,829	Nil	Nil	Nil	Nil	0.75	$171
Colonial FirstChoice Wholesale Pension - Jeanette	$61,009	Nil	Nil	Nil	Nil	0.75	$457
Colonial FirstChoice Wholesale Pension - John	$336,875	Nil	Nil	Nil	Nil	0.75	$2,526
Total	**$420,713**		**Nil**		**Nil**		**$3,154**

* The ongoing investment amount has been annualised to provide you with a clear picture of how fees are paid from your investment. Your regular contribution is placed into the individual underlying funds according to the % split of the allocation of your original investment.

The agreed Ongoing fee is the way we charge for the ongoing service that we provide. If at any time you wish to discuss this you can do so.

I am an authorised representative of Pareto Group Pty Ltd (ABN 11 155 278 078), which holds an Australian Financial Services Licence (AFSL #418700).

Disclosure Statement

To help you understand the full benefits, details and risks of our recommended products, please read the Product Disclosure Statements that we will provide you.

Please let us know if you have any questions.

Cooling-off periods

After investing in a financial product, you have a “cooling-off” period in which to change your mind if you don’t think the product meets your needs. The cooling-off period usually starts when you’re told the product has been set up. The length of the period varies with each product.

Each Product Disclosure Statement explains your cooling-off rights.

If you wish to cancel a product, please tell us in writing so we can contact the product issuer within the time restrictions.

No guarantee

The investments we recommend for you must be appropriate for you. However, we don’t guarantee they’re the best available or that they’ll perform in a particular way. Product performance depends on the features and risks described in the Product Disclosure Statements given to you.

Please take the time to read the PDS and understand the products we have recommended. If you have any questions, please contact us.

Tax

There will be tax implications if you act on this advice. We recommend you ask a tax professional to assess the impact on your short and long-term financial positions.

Are My Product Recommendations Restricted?

Non Superannuation Products

Yes, when making non superannuation product recommendations I can only choose products from our Approved Product List (APL). This list is compiled by a dedicated Investment Committee, made up of Research Manager, Directors and Representatives who carefully analyse investment products, prior to including any product on the APL. The Committee utilises leading industry research houses to assist with their analysis.

The APL is regularly reviewed to ensure that all funds, managers and investment companies continue to meet our ongoing stringent requirements.

Superannuation Products

Yes, when making superannuation product recommendations I can only choose products from our Approved Product List (APL). However, if you have a superannuation product that is not on our APL, I am still able to make recommendations in relation to that fund providing I have conducted the necessary research and have a thorough knowledge of the fund.

What is My Responsibility to You?

I am responsible for providing you a 'clear, concise & an effective' method of communicating my recommendations to you. The recommendations are based on your goals and objectives, personal and financial situations, and other information collected from you. The recommendations are appropriate for your needs and current situation.

As the SoA is specifically prepared for you and based on your situation, I do not take any responsibility for any third party persons acting on all or on a part of any advice or recommendations made in this SoA.

Do I Guarantee the Investments I have recommended?

No. By law, the investments I have recommended must be appropriate to you, however, I do not guarantee that the recommended investments are the best for you or that they will perform in a certain way.

Your Financial Plan

In preparing this plan we have taken into account your specific goals and objectives, and have designed an appropriate strategy that aims to accomplish these.

It is important to appreciate that we live in an ever changing world. Accordingly, it is probable that, overtime, the basis of our calculations (inflation rates, investment rates etc) will change, as will your own requirements and expectations. It is therefore recommended you review your plan on a regular basis to ensure you are still on track to achieve investment objectives.

It is essential to have your investment portfolio reviewed to ensure that the investments are working to their maximum potential and any changes to the investment markets, taxation etc. are promptly and correctly responded to.

Next steps

How to get started

To implement our recommendations in this plan, please do the following:

- Make sure you read this Statement of Advice and Product Disclosure Statements
- Contact us if you have any questions
- Tell us immediately if any information is incorrect
- Complete the application forms in the Product Disclosure Statements
- Sign and date the Authority to Proceed
- Return the forms to us
- Retain a copy for your records

Finally

Please note, as with any investments, their future value may fluctuate, particular rates of return cannot be guaranteed and you may not get back what you originally invested. We have provided a brief summary of the managed investment products recommended, however, you will need to study the investment statements of the recommended products carefully before you decide to invest.

Authority to Proceed

I, John Stroud, of
28 Carisbrooke Street
BALNARRING BEACH VIC 3926

State that:

I have read and understood the Financial Plan presented to me by **Andrew Lord** B Bus (Acc), Dip FS (Fin Plan) from Pareto Group Pty Ltd, and authorise him to proceed with the recommendations as outlined below:

Investment	Amount
Colonial FirstChoice Wholesale Pension	$336,875

All fees and charges have been explained to me.

I authorise **Andrew Lord** B Bus (Acc), Dip FS (Fin Plan) to act in his capacity as our Financial Adviser regarding this investment and to act on our instructions provided by (tick whichever is applicable):

- ☐ Facsimile
- ☐ Email
- ☐ Writing

I acknowledge that:

- I have received and read a Financial Services Guide.
- I have provided all information to the best of my knowledge for the preparation of this Statement of Advice.
- My adviser is not a taxation adviser, and estimates of tax positions are estimates only. We should seek advice from a registered tax agent for taxation advice.

☐ I accept the recommendations made in this Report and give authority to Pareto Group Pty Ltd ABN 11 155 278 078 to proceed with the implementation of those recommendations.

Modifications to recommendations requested by client

Signed: ____________________________________ _________/______/_______

John Stroud Date

Signed: ____________________________________ _________/______/_______

Andrew Lord Date

B Bus (Acc), Dip FS (Fin Plan)